

Access to money is not merely an economic function; it is a condition for participation in modern life. The question of who controls that access, and on what terms, has rarely been asked in public policy because for most of history the answer was set by default: cash requires no intermediary, no approval, no infrastructure beyond the notes or coins in your pocket.¹ The shift toward cashless payments disrupts that default and makes the question urgent. In Canada, digital payments account for most transactions by volume; similar patterns are visible across Australia, the UK, and Scandinavia, where cash usage has declined precipitously over the past decade.² The appeal makes sense. Digital systems offer genuine gains in speed, convenience, and security.³

This transition raises a question worth examining carefully: should the elimination of cash be resisted? This essay argues yes because the architecture of a fully cashless system creates structural risks that no efficiency argument justifies. The move from cash to digital systems is not merely a technological change but a fundamental transfer of control over access to money from individuals to institutions, creating three distinct and serious risks: institutional restriction of access, structural dependency on technological infrastructure, and the exclusion of those without digital access from full economic participation.

An immediate consequence of this shift is that it grants institutions the ability to restrict access to money. Unlike cash, digital transactions must pass through intermediaries: access becomes mediated rather than direct. The more intermediaries involved in a transaction, the less autonomy the transacting parties retain⁴. This matters because intermediaries operate under different constraints: a payment processor may refuse a transaction based on commercial policy; a bank may freeze an account based on legal obligation; a government may direct both based on political will. In each case, access is not eliminated but made conditional, and the conditions are not set by the individual. Proponents argue that this oversight provides security and accountability, and that digital systems improve the detection and prevention of financial crime.⁵ But the question is not whether institutions should sometimes be able to restrict access, most accept that legitimate law enforcement may require it, but whether the architecture of a cashless system should make such restriction the default condition of every transaction. The issue is not whether cash enables crime; it is whether every transaction should require institutional permission as the price of financial participation.

The 2022 trucker protests in Canada illustrate what this conditionality looks like in practice. Under the Emergencies Act, banks were empowered to freeze accounts linked to the protests⁶, with 219 financial products frozen and millions in funds restricted.⁷ TD Bank alone froze two accounts totalling 1.4 million Canadian dollars⁸. More significant still was the mechanism's imprecision. Parliamentary testimony revealed it was deeply unclear to whom the financial sanctions applied, and that uncertainty shaped behaviour; some Canadians made withdrawals of hundreds of thousands of dollars from their own accounts, fearing their funds might be next.⁹ This is not an incidental detail: a cashless system does not need to freeze every

account to achieve compliance. Uncertainty about the mechanism's scope is itself the mechanism.

The obvious response is that these were exceptional measures: emergency powers, invoked once, in extreme circumstances, swiftly reversed. That is accurate. But it misses the point. The significance of Canada lies not in the frequency of such actions, but in what they reveal about the architecture of a cashless system. The infrastructure to restrict access existed, was activated, and worked. Cash does not eliminate institutional authority; governments may still seize assets through legal process, but it decouples routine economic participation from institutional approval. The everyday transaction requires no permission, no intermediary, no condition. That distinction is not trivial: it is the difference between a right and a privilege. Access to payment is not a luxury subject to efficiency optimisation; it is the mechanism through which individuals exercise control over their own labour and property. A system that makes that access conditional on institutional approval does not merely inconvenience; it subordinates economic agency to institutional discretion, transforming a liberty into a licence. The question is not whether institutions will act. It is whether individuals should be structurally dependent on their forbearance.

A further response is that central bank digital currencies could provide a safer alternative to institutional restriction, offering a publicly issued means of payment that falls outside the control of private banks and payment processors. A BIS consultative working group has identified CBDCs as a potential tool for improving payment efficiency and broadening financial access.¹⁰ But a CBDC does not eliminate the capability to restrict access; it centralises it further. Where today restriction requires coordinated action across multiple institutions, even in a two-tier CBDC model, where commercial banks distribute the currency, the state retains ultimate control over the monetary infrastructure in a way no private payment system enables. The distributed architecture is presentational; the consolidated capability is structural. A CBDC is not a safeguard against the risk identified here. It is that risk, fully realised.

Even where access to money is not restricted, it can simply stop working. Digital payments rely on functioning infrastructure: internet connectivity, operational payment networks, and working terminals.¹¹ These dependencies are not incidental but structural. Every cashless transaction relies on a chain: the consumer's device, the merchant's terminal, payment networks, bank servers. Each link is a point of failure. Cash has no such chain. It works in a blackout. No network, no device, no server required. In a cashless society, any failure anywhere in the chain translates directly into an inability to transact, not an inconvenience to be managed around, but an absence of any alternative.

The 2023 Optus outage in Australia illustrates the point directly. Approximately 10 million Australians were affected. One hospitality business lost 80 percent of its customers during the outage.¹² Another, expecting a morning rush that never came, estimated losses running into

the thousands of dollars within a single day.¹³ Ordinary enterprises on an ordinary day, rendered unable to function by a single point of failure.

The obvious response is that the Optus outage was temporary and localised, restored within hours, affecting one network. That is accurate. But it illustrates a broader vulnerability. As noted by the Reserve Bank of New Zealand, cash is particularly valuable in moments of localised or short-term disruption.¹⁴ Remove it entirely, and the absence of a cash fallback does not merely reduce convenience; it removes the only payment instrument that functions independent of digital infrastructure.¹⁵

Some argue that even cash is not immune; in Sweden, cash registration systems are legally required at point of sale, meaning that if digital infrastructure fails, cash transactions cannot legally be processed either.¹⁶ This is a genuine point, but it illustrates the problem rather than solving it. If cash has become dependent on digital infrastructure, that is an argument for preserving the independence of cash, not for abandoning it entirely.

Not everyone can go cashless. Digital payments require things beyond just infrastructure namely digital literacy, a bank account, and reliable connectivity. For those who lack any one of those, cashlessness means exclusion. Advocates argue that digital inclusion is improving and that technology will eventually reach everyone. But the question is who bears the cost during the transition. In payment systems, those costs fall disproportionately on those least able to negotiate them.

Data from a European Parliament resolution indicates that only one third of those aged 55 to 74 possess at least basic digital skills.¹⁷ Two thirds do not, a significant share of citizens. The problem extends beyond age. In Queensland, Australia, government research identified that disadvantaged groups include people with disabilities, undocumented workers, refugees and those in remote and regional areas disproportionately affected by the transition away from cash.¹⁸ Unlike age-related exclusion, which, in principle, diminishes as digitally fluent generations age, structural exclusion of people with disabilities, undocumented migrants, and remote residents is not self-correcting. For these groups, the transition has no natural endpoint. The question is not whether digital payments are convenient. It is whether they can participate in the economy at all. The gap extends to banking specifically among that same 55 to 74 age group: only 46% of men and 39% of women use internet banking at all. In a cashless society, those who cannot bank digitally cannot participate economically.¹⁹

The consequences are visible in countries that have progressed the most in a cashless direction. In Sweden, elderly residents have reported struggling to pay bills digitally, feeling locked out of public services and feeling undervalued. Some described feeling like delinquents, not because they had done anything wrong, but because the system had moved on without them. Researchers note that some feel confined to cash bubbles, isolated pockets where cash remains usable while the broader economy has moved on without them.²⁰ China's experience adds another layer. Here, cashlessness arrived not through a mandate by the state

but through the dominance of two private platforms, Alipay and WeChat Pay. Older residents' exclusion was not incidental but structural: older residents were less likely to use mobile payments, leaving them excluded from a transition designed around digitally fluent users.²¹

The obvious response is that these difficulties are temporary. Digital inclusion is improving, younger generations are already fluent, and there will always be some people disadvantaged by any major transition, and that alone cannot halt progress. This is accurate as far as it goes. But it proves too much. It accepts the exclusion of the elderly, the rural, and the digitally marginalised as an acceptable cost of modernisation, a calculation that is implicitly utilitarian, trading the welfare of identifiable minorities for aggregate efficiency gains. But the utilitarian calculus fails here for a specific reason: payment access is not a welfare good to be traded against other welfare goods. It is a precondition for accessing all other goods. You cannot aggregate across a precondition. Removing it does not reduce welfare by some measurable amount; it removes the capacity to participate in economic life altogether. This is not a cost to be weighed. It is a category error to treat it as one.

Fundamentally, the argument assumes the transition has a destination at which universal access is achieved and the problem resolves itself. But the transition is already underway, and policy is being built around a future that has not yet arrived. A payment system that cannot be used by a third of people aged 55 to 74 is not in transition toward inclusion. It is already excluding them. Inclusion deferred is exclusion enacted. The appropriate response to a future that has not yet arrived is not to design policy as if it already has, but to protect the infrastructure that serves people now, and to require that any transition earn its legitimacy, not assume it.

Overall, a cashless society should be feared for what it entails: access to money becoming conditional on institutional forbearance, everyday economic life becoming hostage to technological infrastructure, and those without digital access being excluded from economic engagement. These are not hypothetical concerns; they are already visible in Canada, Australia, Sweden, and China.

The answer is not to resist digital payments. It is to refuse their totality because cash not only preserves individual autonomy against institutional overreach but also provides a fallback when infrastructure fails and ensures no one is excluded from economic life because of their age, location, or circumstance.

The cashless debate presents itself as a question about technology and convenience. Those things matter. But beneath all three risks identified in this essay lies a single structural fact: cash is the only form of money that belongs unconditionally to the person who holds it. It requires no intermediary to approve it, no infrastructure to carry it, no account to store it. Eliminating it does not merely change how we pay. It changes what money is; from something you possess to something you are permitted to use. That is not merely a technological question. It is a political one, and it deserves to be treated as such.

Endnotes

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